operations at present and that it is on the hunt for a new CEO. On May 9, it issued a fresh disclosure, stating it was investigating insider trading allegations against Kathpalia and Khurana. This was followed by disclosures of Rs 674 crore in "incorrect interest income" recorded in the microfinance division, and Rs 595 crore in unsubstantiated balances under other assets. Both issues, however, were closed as of January, the bank said. J. Sridharan, executive vice chairman of the microfinance arm, Bharat Financial Inclusion, has also tendered his resignation.

Experts believe the bank failed on several fronts. "There seems to be a culture and governance breakdown. The bank was trying to grow at any pace," says Abizer Diwanji, founder, NeoStrat Advisors. "Whenever cyclical issues hit it, they chose to ignore them."

Mid-sized banks are always vulnerable to market perceptions. Given the high cost of doing business, they often engage in riskier activities than their larger counterparts. In such cases, banks should consistently make provisions in their books for creditors. "IndusInd tried to grow in the high-yield, unsecured SME segment, and when things hit the roof, they did not have provision cover, and had to do things like derivative accounting," Diwanji says. "When you tend to compromise on accounting, you tend to compromise on governance." As it happens, the Hindujas were also borrowing against IndusInd shares to finance the Reliance Capital acquisition, and may not have wanted the share prices to crash.

Had the bank valued its assets dynamically and regularly, with proper quantification of the value at risk, it could have identified the "gap" and taken appropriate measures to address the loss in value. "But here, the underlying valuation itself is a question mark, giving an impression that all the three offices were involved—the front office that does the trade, which holds the instrument or decides to buy the instrument; the mid-office, which is expected to evaluate the risk regularly and dynamically; and the back office, which is supposed to account for it," says Parekh. "All the three seem to have either failed or connived."



"It is RBI's remit, but if there are any egregious violations by anyone, in its capacity, Sebi is looking into it"

TUHIN PANDEY
Chairman, Sebi



"Though the capital adequacy of the bank is quite healthy, for business growth, should any further equity be required, IIHL, as the promoter of IBL, remains committed to supporting the bank, as it has done over the past 30 years"

ASHOK P. HINDUJA
Chairman, IndusInd International Holdings Ltd

Many are surprised that such practices went undetected by the senior management for years. The first line of defence is the trader; the second is the senior managers, who may not have asked the necessary questions. The third level comprises the bank's executive directors. It remains unclear whether they implemented proper controls or were prevented from doing so. Beyond these three layers, one would expect the audit committee, along with the internal and external auditors, to examine valuation and accounting practices—followed by oversight from the board of directors and the promoters. IIFL estimates that IndusInd has taken around Rs 4,700 crore hit on its profit and loss statement due to all the "frauds". The brokerage has downgraded the IndusInd Bank stock. The bank's shares closed at Rs 804.75 on the BSE on May 28, nearly half of its highest level of Rs 1,550 a year ago.

STEADYING THE SHIP

Although the issues at IndusInd Bank point to serious corporate governance failures, there is no worry yet on its financial health. Hinduja has clarified that the bank is adequately capitalised, with a capital adequacy ratio of 16.24 per cent as of March. The RBI also said on March 15 that the bank was "well-capitalised and the financial position of the bank remains satisfactory". Sunil Mehta, the bank's chairman, told analysts on May 21 that they are "taking further measures to improve internal controls and processes to prevent such lapses from occurring again."

Diwanji says the bank should look at its own business model of high-cost lending. Moreover, the board should oversee internal developments and pay closer attention to whistle-blower complaints. For instance, red flags should have been raised when Jain resigned in January. Last but not the least, the management has to rebuild trust—that begins with a change in work culture. They should allow information to flow and act when necessary, rather than stall the flow of information, he adds.

With more and more skeletons tumbling out of its closet, IndusInd Bank has to methodically work to resolve its current issues besides building new systems to prevent a recurrence and restore the confidence of its investors and customers. ■